Funds bearing fixed interest or dividend = 8% Preference share capital + 9% Debentures
= 2,00,000 + 4,00,000 = ₹ 6,00,000

Equity shareholders' funds = Equity share capital + Reserves and surplus
= 1,50,000 + 1,50,000 = ₹ 3,00,000

9.6.3. Turnover ratios

Turnover ratios show how efficiently assets or other items have been used to generate revenue from operations. They are also called as activity ratios or efficiency ratios. They show the speed of movement of various items. They are expressed as number of times in relation to the item compared.

The important turnover ratios are:

(i) Inventory turnover ratio
(ii) Trade receivables turnover ratio
(iii) Trade payables turnover ratio
(iv) Fixed assets turnover ratio

(i) Inventory turnover ratio

It indicates the number of times inventory is turned over to make revenue from operations (sales) during a particular accounting period. It is a comparison of cost of revenue from operations (cost of goods sold) with average amount of inventory during a given period. It is calculated as under:

$$\text{Inventory turnover ratio} = \frac{\text{Cost of revenue from operations}}{\text{Average inventory}}$$

Cost of revenue from operations = Purchases of stock in trade + Changes in inventories of finished goods + Direct expenses

(or)

= Revenue from operations – Gross profit

Tutorial note

Revenue from operations is the net sales.

Changes in inventory = Opening inventory – Closing inventory

Direct expenses = Wages + Carriage inwards + Freight inwards + Dock charges + Octroi + Import duty + Coal, gas, fuel and power + Other direct expenses

$$\text{Average inventory} = \frac{\text{Opening inventory} + \text{Closing inventory}}{2}$$

Cost of revenue from operations is taken because the inventory is always valued at cost except when net realisable value is lower than cost, it is valued at net realisable value. Greater the inventory turnover ratio, greater is the efficiency in the movement of stock. However, high inventory turnover ratio may also be due to insufficient inventory, buying in small quantities, etc. Similarly, a low inventory turnover ratio may be due to inclusion of obsolete items in inventory, etc. Hence, inventory turnover ratio must be analysed together with the related items.

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